PACLAND · Economics

The verification discipline applied to macroeconomics — a plain-English brief

The headlines — and what to do about each

- A policy forecast is extrapolation, not verification (0 of 5 targets measured) — treat any central-bank projection as a scenario, not a certified outcome.
- Only 4 of 10 backcast series are validated — spend on out-of-sample evaluation, not on more in-sample fit.
- The field's own record: structural models fail to beat a random walk out of sample — rule out before you predict.
- Trust by accounting, not by confidence band — a model that breaks a national-accounts identity is wrong by construction, no data needed.

1 · What we are measuring

Macroeconomics is a search over a high-dimensional, non-stationary, ever-shifting economy with scarce ground truth: the future is never observed. The discipline asks how much of a forecasting or policy decision is verified, versus extrapolated.

2 · The oracle and the Rule of Three

- Oracle: accounting consistency — double-entry identities hold by construction. Income equals expenditure equals output; every financial asset is someone's liability. A 'model' that breaks an identity is not a model; consistency is an always-true answer.
- Rule of Three: three independent ledgers a model must all close — the circular flow (income ≡ expenditure ≡ output), the sectoral balances ((S−I)+(T−G)+(M−X)=0), and stock-flow consistency (Δstock = flow).

3 · The verification deficit

- 4 of 10 backcast series are measured + computable + validated — a certificate radius of 68%.
- 0 of 5 forecast targets are validated — the projection central banks act on is extrapolation, not verification.

4 · The accounting guard-suite

- 5 guards, each mutation-tested: circular flow, sectoral balances, stock-flow consistency, the budget constraint, non-negative prices.

The field has run these identities for a century — national accounts, double-entry, Godley–Lavoie stock-flow consistency — as bookkeeping. The guard-suite wraps them as a pass/fail test a model must pass, with a seeded fault proving each guard fires.

5 · Why it matters

Meese–Rogoff (1983) found structural exchange-rate models fail to beat a random walk out of sample,

and Rossi's (2013) survey confirms it, DSGE models forecast no better than simple VARs (Gürkaynak et al.). 'Verified' macro forecasts are, in large part, extrapolation — and the discipline makes that a machine-checked verdict.

6 · Reproduce

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